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of unique meat and ethnic sauce entrees, which grew 157 percent in fiscal 2004. Other key Foodservice brands that continue to gain momentum are *Austin Blues* BBQ and *Bread Ready* pre-sliced items. These items are successful because they are easily prepared by the foodservice operator and deliver quality and flavor that can't be beat. These value-added products also provide improved margins to Hormel Foods. Our Foodservice business grew 22 percent during the year.

Our ethnic products continue to do very well. There are two key drivers behind this growth. First, the population is becoming more diverse, particularly with the growth of the Hispanic population. Second, people are looking for excitement in their menu and ethnic products add the variety they seek. *Carapelli* olive oil and *Herdez* authentic Mexican products contributed particularly good growth in fiscal 2004.

deliver turkey's hidden value Our turkey business segment will be increasingly valuable as we create the convenient products that encourage consumers to eat our products on an everyday basis. To accomplish this goal, Jennie-O Turkey Store has done an outstanding job over the past several years creating value-added products across multiple product categories. In fact, 30 percent of Jennie-O Turkey Store's 2004 sales came from products introduced within the past five years. We ended fiscal 2004 with very strong financial results in this segment.

I believe the best is yet to come as we continue to develop value-added products at Jennie-O Turkey Store.

provide effective customer outreach Recognizing that our retail customers are rapidly changing, we restructured our sales team in fiscal 2004 through a consolidation of sales divisions called “Project DELTA.” Now we serve each major retail customer through a dedicated sales team that encompasses both Grocery Products and Refrigerated Foods products. This system should make us more efficient, further strengthen our customer service, and expand relationships with key customers.

do more globally Although Hormel Foods has enjoyed success in key non-U.S. markets, we intend to do more to build a truly global operation. We believe Asia offers great opportunity. Building on our successful operations in China and the Philippines, we continue to search for ways to expand our presence in this part of the world. We are also expanding our Grocery Products portfolio in Europe and North America.

grow and protect value through careful stewardship

Shareholders have averaged an annualized total return of seven percent by investing in Hormel Foods common stock over the past five years, compared with a two percent annualized loss in the S&P 500. Shareholders also have enjoyed increased dividend payouts for 38 consecutive years.

Carapelli olive oil reported outstanding results in fiscal 2004. Sales were up 29 percent.

